

similar in shape, with narrow spikes in this case. The pattern confirms when price closes above the highest high (shown as the confirmation line). Price rises just above the line and then tumbles.

Why did this rising valley fail? I find it valuable to look at the big picture before zooming in. Since the pattern begins at point 1, I would notice the measured move down pattern marked by turns BC (the first leg), the corrective phase, CD, and the second down leg, D1. After a measured move down, the most common retrace is a climb back into the corrective phase, CD. After that, a resumption of the original trend (downward in this example) is a good bet.

Since the corrective phase (CD) is a solid block of horizontal price movement, it presents a formidable challenge to any price mountaineer willing to attempt the climb. I would not invest in this pattern because of that resistance and the likelihood of price dropping, resuming the downtrend. Price climbed to overhead resistance set up by the corrective phase and then ran for cover.

Statistics

[Table 63.2](#) shows general statistics.

Number found. I uncovered a pile of these patterns (3,580 in 353 stocks), starting from the first one in December 1995 and the most recent in March 2019. Not all stocks covered the entire range, and some stocks no longer trade.

Reversal (R), continuation (C) occurrence. In bull markets, the pattern acted as a continuation pattern, but not decisively so (it's near random). In bear markets, reversals won the battle in two out of three contests.

Reversal/continuation performance. In bull markets, continuations perform better than reversals, but the situation flips in bear markets: continuations perform slightly worse.

Average rise. The average rise is 48% in bull markets and half that in bear markets. That's an intriguing result. Both have upward breakouts, but the bull market sees price do twice as well as the bear market. Does the phrase, *a rising tide lifts all boats* ring a bell? I've used it often enough in this book